away from the markets. Clark advises that the best way to handle a losing streak is to liquidate everything and take a vacation. A physical break can serve to interrupt the downward spiral and loss of confidence that can develop during losing periods. Clark further advises that when trading is resumed, the size should be kept small until confidence is regained.

9. The Road to Success Is Paved with Mistakes

Dalio strongly believes that learning from mistakes is essential to improvement and ultimate success. Each mistake, if recognized and acted on, provides an opportunity for improving a trading approach. Most traders would benefit by writing down each mistake, the implied lesson, and the intended change in the trading process. Such a trading log can be periodically reviewed for reinforcement. Trading mistakes cannot be avoided, but repeating the same mistakes can be, and doing so is often the difference between success and failure.

10. Wait for High-Conviction Trades

Having the patience to wait for high expected value trades greatly enhances the return/risk of individual trades. Mai, for example, is perfectly content to stay on the sidelines and do absolutely nothing until there is a trade opportunity that meets his guidelines. Greenblatt makes the point that for longer-term investors, placing suboptimal positions may tie up capital that could be applied to more attractive opportunities that arise in the future or require liquidating such positions at a loss to free up capital.